

4.2 BANKING SYSTEM AND THE CENTRAL BANK

1993/CE/II/34

In Hong Kong a restricted licensed bank faces more restrictions than a licensed bank with reference to :

- (1) the types of deposits it can accept
 - (2) the minimum deposit it can accept
 - (3) the maximum deposit interest rates it can offer
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

1994/CE/II/39

Fanny plans to deposit HK\$250 000 in a financial intermediary for three months. Which of the following institutions can accept her deposit?

- (1) licensed banks
 - (2) restricted licence banks
 - (3) deposit-taking companies
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2000/CE/II/31

Mr Cheung has \$100 000 cash in hand. He needs the money two months later to use as partial payment for his new house. He may deposit the money into

- (1) a licensed bank
 - (2) a restricted licence bank
 - (3) a deposit-taking company
- A. (1) only
B. (1) and (2) only
C. (1) and (3) only
D. (2) and (3) only

2001/CE/II/27

John wants to deposit \$80 000 for 4 months in Hong Kong. Which of the following financial institutions can accept his deposit?

- A. a licensed bank
- B. a restricted licence bank
- C. a deposit taking company
- D. All of the above.

2002/CE/II/32

Which of the following financial institutions in Hong Kong can accept savings deposits?

- A. licensed banks
- B. restricted licence banks
- C. deposit-taking companies
- D. All of the above are correct.

2003/CE/II/33

Sue wants to deposit \$300 000 for 1 month. Which of the following institutions can accept her deposit?

- (1) licensed banks
 - (2) restricted licence banks
 - (3) deposit-taking companies
- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2005/CE/II/36

Mr Chan plans to deposit \$500 000 for one month. Which of the following institutions can accept his deposit?

- (1) licensed banks
 - (2) restricted licence banks
 - (3) deposit-taking companies
- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2), (3)

2007/CE/II/38

If an individual plans to deposit HK\$200 000 in a financial institution in Hong Kong for three months, which of the following institutions can accept this deposit?

- (1) licensed banks
 - (2) restricted licence banks
 - (3) deposit-taking companies
- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2), (3)

2010/CE/II/38

David plans to deposit HK\$400 000 in a Hong Kong financial institution for six months. Which of the following can accept his deposit?

- (1) licensed banks
 - (2) restricted licence banks
 - (3) deposit-taking companies
- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2), (3)

2014/DSE/I/31

Maggie plans to deposit \$500 000 in a financial institution in Hong Kong for two months. Which of the following institutions can accept this deposit?

- (1) licensed banks
 - (2) restricted licence banks
 - (3) deposit-taking companies
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2), (3)

2018/DSE/I/31

Brian wants to deposit \$80 000 for two months in an authorised institution in Hong Kong in the form of a negotiable certificate of deposit. Which of the following statements is correct?

- A. As the term of maturity is longer than one month, a deposit-taking company can accept his deposit.
B. As the term of maturity is shorter than three months, a restricted licence bank can accept his deposit.
C. As the amount of deposit is less than \$500 000, a restricted licence bank cannot accept his deposit.
D. As negotiable certificates of deposit are not available in a licensed bank, a licensed bank cannot accept his deposit.

1993/CE/II/59

Which of the following is **NOT** a function performed by the Exchange Fund?

- A. to issue certificates of indebtedness to the note-issuing banks
B. to manage foreign exchange reserves for the government
C. to issue Exchange Fund bills
D. to determine bank deposit interest rates

1995/CE/II/41

Which of the following are the central-bank functions performed by the Hong Kong Monetary Authority?

- (1) supervision of banking activities
 - (2) financing the budget deficit
 - (3) maintaining the stability of the exchange rate of the Hong Kong dollar
 - (4) cheque clearing
- A. (1) and (3) only
B. (1) and (4) only
C. (2) and (3) only
D. (2) and (4) only

1996/CE/II/60

Which of the following is **NOT** a function of the Hong Kong Monetary Authority?

- A. managing fiscal reserves for the government
B. acting as a clearing house
C. supervising the banking system
D. acting as the lender of last resort

2000/CE/II/32

Which of the following about the central bank functions performed in Hong Kong is correct?

- A. The Hong Kong Bank is responsible for the central clearance of the banking system.
- B. The Exchange Fund acts as the government's banker.
- C. The Hong Kong Monetary Authority carries out monetary policies for the government.
- D. The Hong Kong Association of Banks supervises banking activities.

2001/CE/II/49

Which of the following is **NOT** a function of the Hong Kong Monetary Authority?

- A. to manage the foreign exchange reserves
- B. to carry out monetary policy
- C. to act as lender of last resort
- D. to determine the best lending rate

2003/CE/II/37

Which of the following central bank functions are performed by the Hong Kong Monetary Authority?

- (1) managing the foreign exchange reserves
 - (2) determining the deposit interest rates of banks
 - (3) acting as the lender of last resort
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2), (3)

2007/CE/II/37

Which of the following functions are performed by the Hong Kong Monetary Authority?

- (1) maintaining the stability of the linked exchange rate
 - (2) supervising the liquidity position of the private banking institutions
 - (3) determining the market interest rate in Hong Kong
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2), (3)

2009/CE/II/37

In the financial system of Hong Kong, the Hong Kong Monetary Authority plays the role of

- (1) operating the day to day business of the clearing house.
 - (2) stabilizing the exchange rate of the Hong Kong dollar.
 - (3) the lender of last resort.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2), (3)

2012/DSE/I/29

Which of the following is **NOT** a function of the Hong Kong Monetary Authority?

- A. determining the inter-bank offered rate in Hong Kong
- B. supervising the liquidity position of the private banking institutions
- C. managing and investing the Exchange Fund
- D. maintaining the stability of the linked exchange rate

2018/DSE/I/33

Which of the following is **NOT** a function of the Hong Kong Monetary Authority?

- A. to stabilise the mortgage rate
- B. to issue currency notes
- C. to supervise the commercial banks
- D. to manage the Exchange Fund

2019/DSE/I/29

Which of the following is/are the function(s) of the Hong Kong Monetary Authority?

- (1) Managing the Exchange Fund
- (2) Supervising the implementation of fiscal policy
- (3) Determining Hong Kong's market interest rate

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1), (2) and (3)

2021/DSE/I/32

Jack wants to deposit \$400 000 for 5 months. Which of the following financial institutions in Hong Kong can accept his deposit?

- (1) a restricted licence bank
- (2) a virtual bank which is classified as a licensed bank
- (3) a deposit-taking company

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2022/DSE/I/31

David plans to deposit \$1 million to a financial institution in Hong Kong as savings deposit. Which of the following types of institution can receive this amount of savings deposit?

- (1) a licensed bank
- (2) a restricted licence bank
- (3) a deposit-taking company

- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2023/DSE/II/31

Which of the following is a function of the Hong Kong Monetary Authority?

- A. providing loans to licensed banks and the public
- B. managing foreign exchange reserves
- C. determining the market interest rates
- D. collecting taxes for the government

2024/DSE/I/32

Which of the following are functions of the Hong Kong Monetary Authority?

- (1) acting as the lender of last resort for commercial banks
 - (2) setting the prime rate (最優惠利率) of bank loans
 - (3) issuing Hong Kong dollar coins
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Short & Structured Questions

1992/CE/I/3(c)(i)

Name **TWO** central bank functions performed by The Hongkong and Shanghai Banking Corporation (HSBC). (4 marks)

2001/CE/I/10(a)

What is the basic economic role of commercial banks? (2 marks)

2002/CE/I/7

List **TWO** functions of a central bank. (2 marks)

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